portfolio management is based on your age and risk appetite. There are three lifecycle portfolio choices in declining risk order: LC75 (Aggressive Lifecycle Fund), LC50 (Moderate Lifecycle Fund) and LC30 (Conservative Lifecycle Fund). Typically, after the age of 35, your equity and corporate debt allocation start to decline while allocation to government debt securities grows.

There are limits to equity exposure in each of the three lifecycle portfolio options, but one still has significant exposure for meaningful growth of one's investments over the long run. It is important to note that once you turn 50, the equity allocation starts to decline, and by the age of 60, you cannot have more than 50 per cent of your portfolio in an equity fund.

SMART MOVES WITH ELSS

Taxpayers often face an annual dilemma—they find themselves short on funds to deploy towards tax savings. With ELSS, there is a way out of facing this challenge for perpetuity. All one has to do is follow the strategy of investing for three consecutive years to find future tax-saving investments to be automated



↘ For instance, if you have invested Rs 1.5 lakh towards tax savings in ELSS in each of the three consecutive years, the first year's investment will complete the 3-year lock-in in year 4 and once the sum is redeemed, you can deploy the same towards tax savings in ELSS for year 4. You do not need any fresh money towards tax savings in year 4 as you will have the redemption of the money invested in year 1. The same logic works for the money invested in year 2, which will be available in year 5, and the money invested in year 3, which will be available in year 6

↘ So you do not have to worry about creating funds to save on income tax after the first three years. What would happen in a year when the value of the ELSS investment goes below the sum one invested three years earlier? The chances of such an occurrence are rare going by the data from the consistently performing ELSS over the years. Even if you face such a situation in a particular year, the shortfall to meet the Rs 1.5 lakh limit is unlikely to be huge and can be planned for

↘ With this strategy, you don't have to worry about tax savings every year and can focus on long-term financial goals. You have created cash flow in a way that your tax savings are almost automated and your surplus savings are deployed towards achieving other financial goals

↘ THE ELSS ADVANTAGE

An ELSS is an equity-oriented mutual fund, which allocates a minimum of 80 per cent to equity and the rest to debt instruments. However, one has to pay a 10 per cent tax on long-term (over one year) capital gains above Rs 1 lakh. ELSS funds are unique mutual fund schemes that come with tax deduction benefits. There are several advantages of considering ELSS as a tax-saving instrument, the topmost being the shortest lock-in period of three years as compared to other Section 80C options, which have a lock-in of five years or more, the longest being 15 years for PPF. With its high equity allocation, the returns from ELSS can be high over the long term and help one build wealth.

Like in any mutual fund, one can invest in ELSS too through SIPs (systematic investment plan), making tax-saving investment convenient and easy. However, when investing through SIPs in ELSS, one should be careful to note that each SIP investment has to meet the 3-year lock-in. Even though ELSS provides SIP as an investment option, it should be avoided and a better way could be to divide the annual tax savings in ELSS into 2-3 tranches.

There is also a smart way to use tax savings in ELSS that could make tax planning convenient *(see Smart Moves with ELSS)* for life. At the highest 30 per cent tax bracket, one can save up to Rs 46,800 a year in taxes (including surcharge and cess) by investing up to Rs 1.5 lakh in ELSS.

Other than NPS and ELSS, the other investment-based tax-saving options include endowment life insurance plans, ULIP (unit-linked insurance plan) and certain retirement savings plans offered by insurance companies. While these options have equity exposure, they are not predominantly equity-oriented investments as all of them mix insurance in some form. Effectively, the entire premium that you pay does not go into investments. Moreover, these options also have fairly long lock-in, which one should get into based on their other financial needs.

The combination of ELSS and NPS can work very well for individuals. The NPS could be used for a focused long-term retirement savings and the ELSS for wealth creation. Both these instruments have significant equity exposure to provide wealth creation possibility. And one could use them in addition to existing retirement savings instruments that one may be part of, such as EPFO. Likewise, investing in ELSS could also be aligned to medium- to long-term financial goals such as a vacation 4-5 years from now or working on a down payment for a car. The idea of investing to save tax is multi-pronged: you do reduce your income tax outgo, you are able to align your financial goals with tax savings and, lastly, you deploy your finances efficiently. ■

–Narayan Krishnamurthy